by a belief that the advent of the web marked a new dawn in human civilization and would radically change life on earth, the way the invention of the wheel did. Given the investor frenzy for anything remotely connected with the Internet, many dotcom start-ups in the US managed to raise capital at outrageous valuations, despite their flaky business models that held little promise of generating meaningful profits in the foreseeable future.

None of the major Indian IT companies were dotcom players, but looked far more solid because of their pipeline of Y2K-related orders. Shares of Infosys, Wipro and Satyam, the top three listed IT services firms, were already in demand with institutional investors. The interest was spilling over to some of the second-rung companies in the sector now.

Ketan’s choice of Pentafour Software to ride the IT wave was intriguing. The company, which would later be renamed Pentamedia Graphics, was struggling financially; there was talk about it having defaulted on its fixed deposits. The poor market perception about the Pentafour management did not help either. Let alone fund managers, even self-respecting traders chose to keep away from the stock. But all that was before Ketan took an interest in the stock.

To me, Ketan’s pick made sense. As the company was in trouble, the stock was available cheap; I could see that would put Ketan in a position to dictate terms to the management. Pentafour wanted to project itself as an attractive buy to institutional investors. Market perception about its management could not be changed overnight, but a jump in its stock price would certainly get fund managers interested. And, as a surge in price alone would not help, trading volumes had to be good enough for fund houses to be able to buy and sell the shares with ease.

In early 1998, the stock was quoting at around Rs 150, its daily volumes on BSE at barely 5,000. Ketan first drove up the price, which in turn attracted traders to the stock. By the end of May, Pentafour shares had soared to Rs 1,000, and daily volumes had ballooned to between 7 lakh and 10 lakh shares on BSE, and to nearly twice those volumes on NSE. Pentafour was among the top five most actively traded stocks on both exchanges. Such was the interest in the stock that it soon came to be regarded as the barometer of sentiment for technology shares in general.

Very soon, the company began making the right kind of noises in the press about its operations, such as partnerships with big companies and orders from customers. Now fund managers were interested too. Getting